Alder Quay Financial Services Ltd

Internal Audit Charter and Procedures

FICTIONAL TRAINING / TEST DOCUMENT - NOT LEGAL ADVICE

Alder Quay Financial Services Ltd is invented. All staff, systems, limits, approvals and company arrangements in this pack are synthetic. No real authorisation, regulatory registration, employment entitlement or product is represented. Use only to test document retrieval and grounded answers.

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Contents and citation guide

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Cite document ID, version and section number. All versions in this pack are current as of the shared effective date. Change notes refer to fictional history; superseded documents are not supplied.

1. Mandate and independence

Internal Audit provides independent assurance to the fictional Board Audit Committee over governance, risk management and controls. The Head of Internal Audit reports functionally to the Audit Committee Chair and administratively to the CEO

Auditors may access relevant records, systems and staff subject to secure handling and lawful restrictions. Auditors do not own operational controls or approve the business decisions they later audit. Any impairment or prior operational responsibility must be disclosed to the Committee before assigning the work.

2. Risk-based planning

Maintain an audit universe covering advice, complaints, financial crime, people, finance, technology, privacy and outsourced services. Score impact and likelihood from one to five and consider change, customer harm, incidents and time since last review. The Audit Committee approves the annual plan and material changes

High-risk areas are normally reviewed annually; medium every two years and low every three years, with documented risk-based exceptions. These are fictional planning cycles, not regulatory requirements. Reserve 15% of annual capacity for emerging risks.

3. Engagement and fieldwork

Issue a scope memo at least 10 working days before planned fieldwork unless an urgent investigation requires shorter notice. Record objectives, period, systems, stakeholders and exclusions. Define the population, sampling method and limitations before testing

A normal control test samples 25 items where available; a smaller population may be tested in full. This is a judgemental baseline and never a statistical assurance claim. Preserve source references and reproducible evidence. Validate exceptions with the control owner without allowing unsupported representations to replace evidence.

4. Findings and reporting

Rate a finding Critical for imminent severe harm or systemic control failure; High for material exposure requiring prompt action; Medium for a significant control weakness; Low for limited improvement. Rate using evidence and context, not the number of exceptions alone. Notify the Audit Committee Chair and relevant executive of Critical findings within one working day

Issue the draft report within 10 working days of fieldwork completion; management responds within five working days. Finalise within five working days after receiving a complete response, recording any disagreement. Reports state scope limits, evidence, root cause, impact, action owner and due date.

5. Remediation and escalation

Internal target due dates from final report are 10 calendar days for Critical, 30 for High, 90 for Medium and 180 for Low. Immediate containment may be required before the report. These are audit remediation targets, distinct from security patch deadlines in AQ-CMP-002 section 4

Internal Audit verifies closure by retesting or examining reliable evidence; management assertion alone is insufficient. Escalate overdue Critical and High actions to the Audit Committee Chair within two working days of becoming overdue. Extensions require documented residual risk, interim controls and Committee Chair approval for Critical or High; lower ratings require Head of Internal Audit approval.

6. Quality, records and worked example

A reviewer independent of fieldwork signs off scope, evidence and report before issue. Restrict workpapers and retain them for seven years after the final report under AQ-CMP-003 section 5, subject to holds. Track quality through timely reporting, supported findings and verified closure, not merely the count of closed actions

Example: a High audit finding about patch governance has a 30-day remediation target, while an individual critical vulnerability retains its 72-hour security target; neither deadline cancels the other. Suspected misconduct goes through appropriate investigation and reporting channels. Version 1.5 clarifies closure evidence and overdue escalation.